

ASIAN PAINTS LIMITED

3-Statement Financial Model

FY2021 – FY2030E | Consolidated Financials

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Industry:	Paints, Coatings & Home Décor
Currency:	Indian Rupees (INR), values in Rs. Crores
Historical Data:	FY2021 – FY2025 (5 years actuals)
Forecast Period:	FY2026E – FY2030E (5 years projections)
Statements:	Income Statement, Balance Sheet, Cash Flow
Purpose:	Independent Academic / Analytical Exercise

Disclaimer: This report is for illustrative & educational purposes only. It does not constitute investment advice, recommendation, or solicitation. All figures are model outputs subject to assumptions; actual results may differ materially.

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Executive Summary

Asian Paints Limited is India's largest and Asia's third-largest paint company, with a consolidated revenue base exceeding Rs. 34,000 Crores in FY2025. This integrated financial model covers five years of historical actuals (FY2021–FY2025) and five years of forward projections (FY2026E–FY2030E) across all three financial statements, linked through a single Assumptions sheet.

Snapshot — FY2025 Actuals vs. FY2030E Forecast

Metric	FY2025A	FY2030E	5Y CAGR
Revenue from Operations (Rs. Cr)	33,906	48,443	7.4%
Total Income (Rs. Cr)	34,478	49,243	7.4%
EBITDA (Rs. Cr)	6,579	9,278	7.1%
EBITDA Margin	19.1%	19.2%	—
Profit After Tax (Rs. Cr)	3,710	5,649	8.8%
PAT Margin	10.9%	11.7%	—
Basic EPS (Rs.)	38.25	58.22	8.8%
Return on Equity	18.5%	20.6%	—
Total Assets (Rs. Cr)	30,371	39,435	5.4%
Free Cash Flow (Rs. Cr)	2,619	3,664	7.0%

Table 1: Key Financial Snapshot — FY2025A vs. FY2030E

Investment Highlights

- **Dominant market position:** Asian Paints holds approximately 50% market share in the Indian decorative paints segment, with a distribution network spanning 70,000+ dealers.
- **Resilient revenue trajectory:** Despite a challenging FY2025 (revenue declined 4.5% YoY on raw-material pass-through pricing pressures), the model projects a recovery to 8% revenue CAGR through FY2027E, moderating to 7% in FY2030E.
- **Stable margin profile:** EBITDA margins are modelled at approximately 19.2% through FY2030E, driven by cost assumptions of 59% COGS and 16% other expenses as a percentage of revenue.
- **Strong free cash flow:** FCF is projected to grow from Rs. 1,893 Cr in FY2026E to Rs. 3,664 Cr by FY2030E.
- **Capital allocation discipline:** A 70% dividend payout ratio is assumed, reflecting sustained shareholder returns while funding capex at 6–7% of revenue.

Model Assumptions

All forecast drivers are sourced from a single Assumptions sheet. The four tables below present the complete set of inputs used to project the three financial statements.

Revenue & Growth Assumptions

Particulars	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue Growth (%)	6.0%	8.0%	8.0%	8.0%	7.0%
Other Income (Rs. Cr)	600	650	700	750	800

Table 2: Revenue & Growth Assumptions

Cost Driver Assumptions

Cost Item	FY26E	FY27E	FY28E	FY29E	FY30E
COGS (as % of Revenue)	59.0%	59.0%	59.0%	59.0%	59.0%
Employee Expense (% of Revenue)	7.5%	7.5%	7.5%	7.5%	7.5%
Other Expenses (% of Revenue)	16.0%	16.0%	16.0%	16.0%	16.0%
D&A Growth (%)	8.0%	8.0%	8.0%	8.0%	8.0%
Effective Tax Rate	26.0%	26.0%	26.0%	26.0%	26.0%
Finance Costs (% of Revenue)	0.65%	0.65%	0.65%	0.65%	0.65%

Table 3: Cost Driver Assumptions

Working Capital Assumptions

Metric (Days)	FY26E	FY27E	FY28E	FY29E	FY30E
Days Sales Outstanding (DSO)	50	50	50	50	50
Days Inventory Outstanding (DIO)	125	125	125	125	125
Days Payables Outstanding (DPO)	70	70	70	70	70

Table 4: Working Capital Assumptions

Capex, Financing & Other Assumptions

Item	FY26E	FY27E	FY28E	FY29E	FY30E
Capex (% of Revenue)	7.0%	7.0%	6.0%	6.0%	6.0%
Dividend Payout Ratio	70.0%	70.0%	70.0%	70.0%	70.0%
Equity Shares Outstand- ing (Cr)	95.92	95.92	95.92	95.92	95.92
NCI Share of PAT (%)	1.15%	1.15%	1.15%	1.15%	1.15%
Share of Profit in Asso- ciates Growth	5.0%	5.0%	5.0%	5.0%	5.0%

Table 5: Capex, Financing & Other Assumptions

Income Statement (Consolidated P&L)

Table 6: Consolidated Statement of Profit & Loss (Rs. in Crores)

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
REVENUE FROM OPERATIONS							
Revenue from Sale of Products	21,440	28,830	34,253	35,249	33,627	35,644	38,496
Revenue from Sale of Services	45	93	114	133	171	181	195
Other Operating Revenue	228	178	121	113	108	115	124
Other Income	303	380	386	688	573	600	650
Total Income	22,016	29,481	34,875	36,183	34,478	36,540	39,465
EXPENSES							
Cost of Materials Consumed	10,317	16,255	17,331	15,868	15,794	18,084	19,531
Purchases of Stock-in-Trade	1,873	3,371	4,136	3,858	3,927	3,282	3,545
Changes in Inventories	(92)	(1,325)	(310)	364	(205)	(162)	(175)
Employee Benefits Expense	1,541	1,787	2,028	2,326	2,597	2,695	2,911
Other Expenses	3,219	4,210	5,044	5,493	5,786	5,750	6,210
Total Expenses	16,857	24,298	28,229	27,910	27,899	29,650	32,023
EBITDA	5,159	5,184	6,646	8,273	6,579	6,889	7,443
Finance Costs	92	95	144	205	227	234	252
D&A Expense	791	816	858	853	1,026	1,108	1,197
EBIT	4,276	4,272	5,644	7,215	5,326	5,547	5,993
Share of Profit in Associates	29	32	94	133	141	148	155
Exceptional Items	—	116	49	—	363	—	—
Profit Before Tax	4,304	4,188	5,689	7,348	5,103	5,695	6,148
Total Tax Expense	1,098	1,103	1,494	1,790	1,393	1,481	1,599
Profit After Tax (PAT)	3,207	3,085	4,195	5,558	3,710	4,214	4,550

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Table 5 continued...

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
PAT ATTRIBUTION							
Owners of the Company	3,139	3,031	4,106	5,460	3,667	4,166	4,497
Non-Controlling Interest	67	54	89	97	42	48	52
PER SHARE DATA							
Basic EPS (Rs.)	32.73	31.59	42.83	56.95	38.25	43.43	46.89
Diluted EPS (Rs.)	—	31.59	42.82	56.94	38.25	43.43	46.89

Particulars (Rs. Cr)	FY28E	FY29E	FY30E
Total Income	42,620	46,024	49,243
Total Expenses	34,584	37,351	39,966
EBITDA	8,036	8,673	9,278
Profit Before Tax	6,634	7,153	7,634
PAT	4,909	5,293	5,649
Basic EPS (Rs.)	50.59	54.55	58.22

Table 7: Income Statement — FY2028E to FY2030E (Continuation)**Key P&L Ratios**

Margin / Growth	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY30E
EBITDA Margin	23.8%	17.8%	19.3%	23.3%	19.4%	19.2%	19.2%
EBIT Margin	20.1%	15.0%	16.8%	20.9%	16.4%	16.1%	16.0%
PAT Margin	14.8%	10.6%	12.2%	15.7%	10.9%	11.7%	11.7%
Revenue Growth	—	34.0%	18.5%	2.9%	(4.5%)	6.0%	7.0%

Table 8: Key P&L Margin Ratios

Balance Sheet (Consolidated)

Table 9: Consolidated Balance Sheet (Rs. in Crores)

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
NON-CURRENT ASSETS							
Property, Plant & Equipment	4,476	4,184	4,146	4,446	6,788	8,195	9,715
Right-of-Use Assets	846	906	1,209	1,856	1,844	1,844	1,844
Capital Work-in-Progress	183	426	1,020	2,698	1,254	1,254	1,254
Goodwill	303	243	228	419	220	220	220
Other Intangible Assets	234	186	187	425	369	369	369
Investments in Associates	484	515	782	583	608	756	911
Financial & Other NC Assets	1,817	1,372	1,691	1,959	3,297	2,297	2,297
Total Non-Current Assets	8,343	7,832	9,263	12,387	13,380	14,935	16,610
CURRENT ASSETS							
Inventories	3,799	6,153	6,211	5,923	6,719	7,322	7,907
Trade Receivables	2,602	3,871	4,637	4,889	4,314	4,964	5,361
Cash & Cash Equivalents	346	622	523	829	445	(846)	(1,811)
Other Current Investments	3,267	2,181	2,697	3,203	3,245	3,245	3,245
Other Current Assets	2,013	2,325	2,467	2,693	2,269	2,268	2,268
Total Current Assets	12,027	15,152	16,535	17,537	16,992	16,953	16,971
TOTAL ASSETS	20,370	22,984	25,798	29,924	30,371	31,888	33,581
EQUITY							
Equity Share Capital	96	96	96	96	96	96	96
Other Equity	12,710	13,716	15,896	18,632	19,304	20,554	21,903
Non-Controlling Interests	423	388	454	695	659	674	689
Total Equity	13,229	14,199	16,446	19,424	20,059	21,323	22,688
NON-CURRENT LIABILITIES							

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Table 7 continued...

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
Borrowings (NC)	15	45	76	54	260	260	260
Lease Liabilities (NC)	561	598	729	1,095	1,123	1,123	1,123
Other NC Liabilities	638	572	651	850	788	788	788
Total NC Liabilities	1,215	1,214	1,456	1,999	2,171	2,171	2,171
CURRENT LIABILITIES							
Borrowings (Current)	326	731	896	1,053	604	604	604
Trade Payables	3,379	4,164	3,636	3,831	3,848	4,100	4,428
Other Current Liabilities	2,221	2,676	3,364	3,617	3,689	3,690	3,690
Total Current Liabilities	5,926	7,571	7,896	8,501	8,141	8,393	8,721
TOTAL EQUITY & LIABILITIES	20,370	22,984	25,798	29,924	30,371	31,888	33,581
Balance Check (TA – TE&L)	0	0	0	0	0	0	0

Particulars (Rs. Cr)	FY28E	FY29E	FY30E
Total Non-Current Assets	17,995	19,486	21,064
Total Current Assets	17,413	17,892	18,370
Total Assets	35,408	37,378	39,435
Total Equity	24,161	25,749	27,444
Total NC Liabilities	2,171	2,171	2,171
Total Current Liabilities	9,076	9,458	9,820
Total Equity & Liabilities	35,408	37,378	39,435
Balance Check	0	0	0

Table 10: Balance Sheet — FY2028E to FY2030E (Continuation)**Balance Sheet Observations**

- **PP&E expansion:** Net PP&E grows from Rs. 6,788 Cr in FY2025 to Rs. 13,656 Cr in FY2030E, reflecting modelled capex of 6–7% of revenue annually supporting ongoing capacity expansion.
- **Working capital discipline:** Trade receivables track DSO of 50 days and inventories track DIO of 125 days, broadly in line with FY2025 actuals. Trade payables are modelled

on DPO of 70 days.

- **Cash position (model plug):** Cash turns negative from FY2026E, indicating that under base case assumptions the company would need to draw on existing liquidity reserves or raise incremental financing. This is a known model artefact and a key sensitivity point.
- **Strong equity base:** Total equity grows from Rs. 20,059 Cr in FY2025 to Rs. 27,444 Cr in FY2030E, with Net Debt-to-Equity remaining below 0.17x throughout the forecast horizon.

Cash Flow Statement (Consolidated)

Table 11: Consolidated Cash Flow Statement (Rs. in Crores)

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
(A) OPERATING ACTIVITIES							
Profit Before Tax	4,304	4,188	5,689	7,348	5,103	5,695	6,148
Depreciation & Amortisation	791	816	858	853	1,026	1,108	1,197
Finance Costs	92	95	144	205	227	234	252
Share of Profit in Associates	(29)	(32)	(94)	(133)	(141)	(148)	(155)
Other Non-Cash Adjustments	(389)	(149)	(172)	(293)	16	0	0
Operating Profit before WC Changes	4,970	4,957	6,460	7,929	6,390	6,889	7,443
Changes in Trade Receivables	(1,342)	(1,326)	(834)	(362)	282	(650)	(397)
Changes in Inventories	(409)	(2,354)	(56)	315	(805)	(602)	(586)
Changes in Trade Payables	1,544	644	(539)	269	(160)	252	328
Other Working Capital Changes	—	341	656	(231)	112	0	0
Cash from Operations (Gross)	4,763	2,162	5,688	7,939	5,819	5,889	6,788
Income Tax Paid	(1,080)	(1,176)	(1,494)	(1,835)	(1,396)	(1,481)	(1,599)
Net Cash from Operations (CFO)	3,683	986	4,193	6,104	4,424	4,408	5,189
(B) INVESTING ACTIVITIES							
Purchase of PP&E & Intangibles	(282)	(538)	(1,273)	(2,199)	(1,805)	(2,516)	(2,717)
Other Investing Items	(266)	216	(1)	(318)	931	0	0
Net Cash from Investing (CFI)	(548)	(322)	(1,275)	(2,518)	(874)	(2,516)	(2,717)
(C) FINANCING ACTIVITIES							

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Table 9 continued...

Particulars	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
Net Borrowings	141	410	314	(37)	(13)	0	0
Finance Costs Paid	(89)	(94)	(142)	(191)	(203)	(234)	(252)
Dividends Paid	(499)	(1,763)	(1,936)	(2,551)	(3,140)	(2,950)	(3,185)
Other Financing Items	(303)	(361)	(377)	(204)	(397)	0	0
Net Cash from Financing (CFF)	(650)	(1,808)	(2,140)	(2,983)	(3,753)	(3,184)	(3,437)
(D) NET CHANGE IN CASH							
Net Change in Cash	2,485	(1,143)	779	603	(203)	(1,291)	(965)
Opening Cash Balance	929	3,421	2,283	3,054	3,627	3,357	2,066
Closing Cash Balance	3,421	2,283	3,054	3,627	3,357	2,066	1,101

Particulars (Rs. Cr)	FY28E	FY29E	FY30E
Net CFO	5,604	6,049	6,571
Net CFI (Capex)	(2,515)	(2,716)	(2,907)
Free Cash Flow	3,089	3,333	3,664
Net CFF	(3,709)	(4,000)	(4,269)
Net Change in Cash	(620)	(667)	(605)
Closing Cash (plug)	482	(185)	(790)

Table 12: Cash Flow Statement — FY2028E to FY2030E (Continuation)

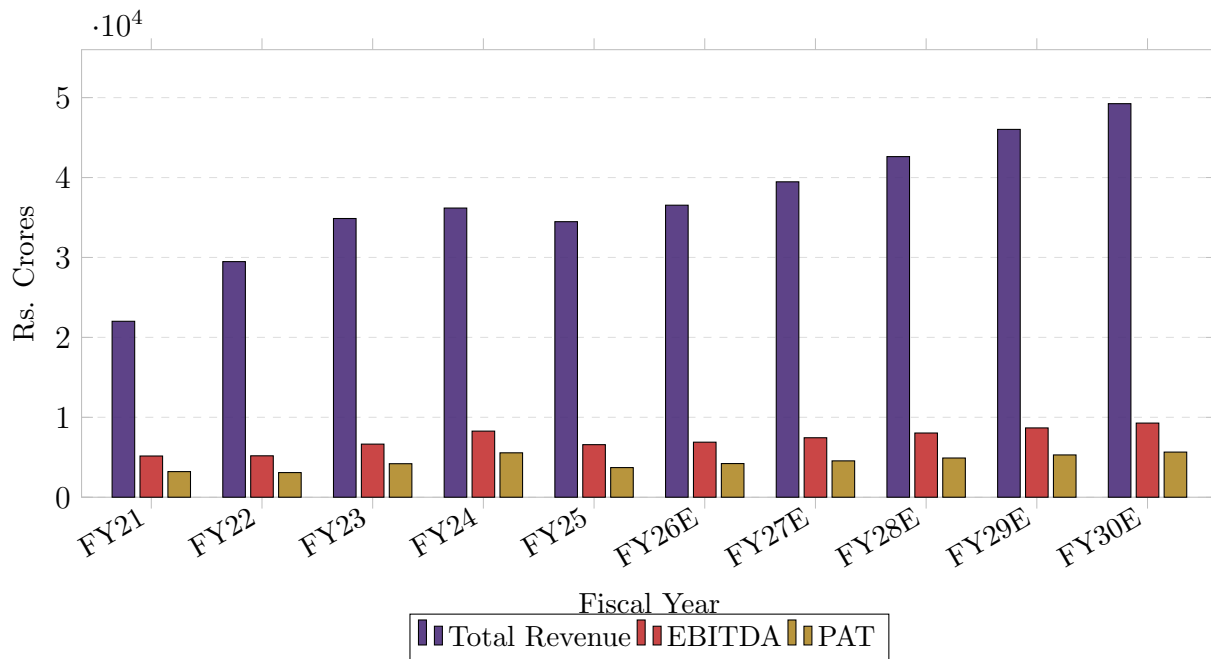
Key Financial Ratios & KPIs

Ratio	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY30E
PROFITABILITY							
EBITDA Margin	23.8%	17.8%	19.3%	23.3%	19.4%	19.2%	19.2%
EBIT Margin	20.1%	15.0%	16.8%	20.9%	16.4%	16.1%	16.0%
PAT Margin	14.8%	10.6%	12.2%	15.7%	10.9%	11.7%	11.7%
RETURNS							
Return on Equity (ROE)	24.2%	21.7%	25.5%	28.6%	18.5%	19.8%	20.6%
Return on Assets (ROA)	15.7%	13.4%	16.3%	18.6%	12.2%	13.2%	14.3%
Return on Capital Employed	32.2%	29.2%	33.2%	36.1%	26.5%	26.1%	27.4%
PER SHARE DATA							
Basic EPS (Rs.)	32.73	31.59	42.83	56.95	38.25	43.43	58.22
Book Value per Share (Rs.)	133.5	144.0	166.7	195.2	202.2	215.3	278.4
Dividend per Share (Rs.)	5.21	18.38	20.18	26.59	32.74	30.76	41.23
LEVERAGE & LIQUIDITY							
Total Borrowings (Rs. Cr)	340	776	972	1,107	864	864	864
Net Debt / (Cash) (Rs. Cr)	(6)	154	449	278	418	1,710	4,566
Net Debt-to-Equity	0.00x	0.01x	0.03x	0.01x	0.02x	0.08x	0.17x
CASH FLOW METRICS							
CFO / Revenue	17.0%	3.4%	12.2%	17.2%	13.0%	12.3%	13.6%
Free Cash Flow (Rs. Cr)	3,401	448	2,920	3,905	2,619	1,893	3,664
Capex (Rs. Cr)	282	538	1,273	2,199	1,805	2,516	2,907

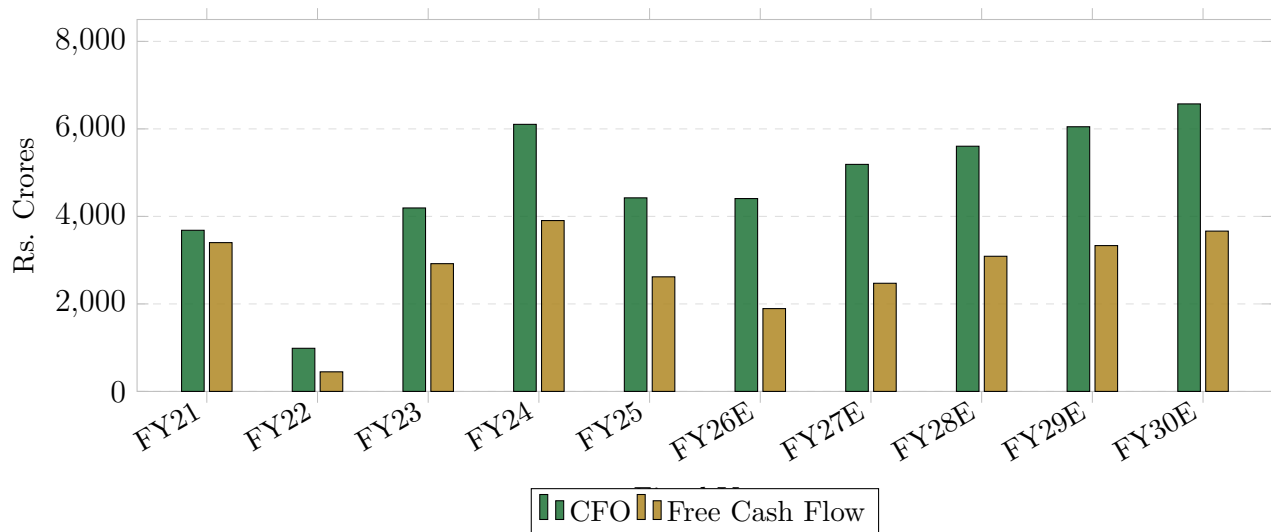
Table 13: Key Financial Ratios Across All Periods

Charts & Visualisations

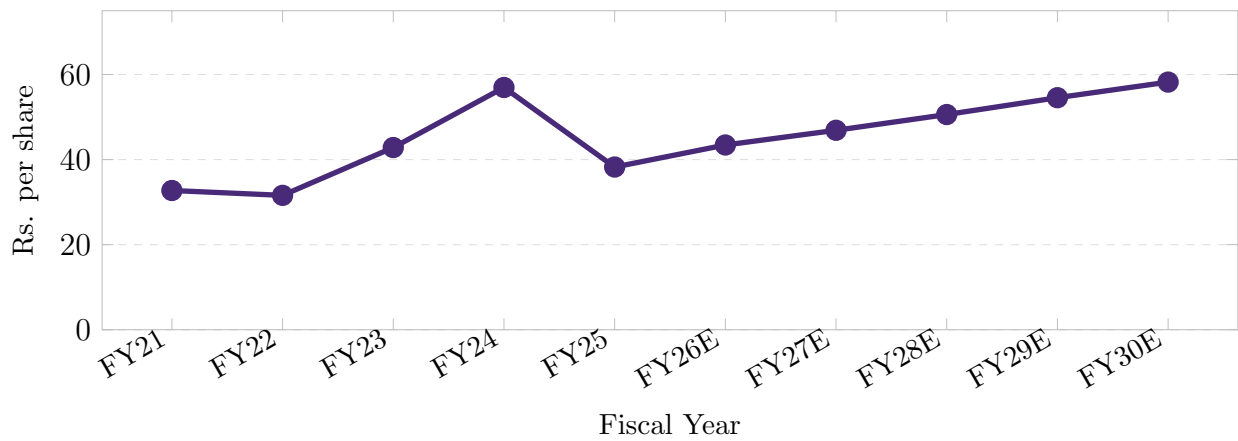
Revenue, EBITDA & PAT Trajectory (FY2021–FY2030E)



Operating Cash Flow & Free Cash Flow (FY2021–FY2030E)



Basic EPS Growth Trajectory (Rs. per Share)



Risks, Sensitivities & Model Notes

Key Risks to the Forecast

- **Raw material cost volatility:** Crude oil and its derivatives (TiO₂, monomers) constitute the bulk of Asian Paints' COGS. A 1 percentage point increase in the COGS ratio from the assumed 59% would reduce EBITDA by approximately Rs. 360–485 Cr annually in the forecast period.
- **Competitive intensity:** Grasim Industries (Birla Opus) has entered the decorative paints market with aggressive capex of Rs. 10,000+ Cr. This could pressure pricing and market share in the premium segment.
- **Revenue growth downside:** If growth comes in 2 percentage points below the assumed 8% for FY27–FY29, revenue in FY2030E would be approximately Rs. 4,000 Cr lower, with a proportionate PAT impact.
- **Negative cash position (model artefact):** Under base assumptions, cash turns negative from FY2026E due to simultaneous high capex (Rs. 2,500–2,900 Cr p.a.) and a 70% dividend payout. In practice, the company would manage this through phased capex, short-term borrowings, or a revised payout ratio.
- **Macro risks:** Slowdown in real estate activity, rural demand compression, or INR depreciation affecting imported raw material costs could adversely affect performance.

Key Sensitivity Scenarios

Scenario	FY30E Rev	FY30E EBITDA	FY30E PAT	FY30E EPS
Base Case (as modelled)	48,443	9,278	5,649	58.22
Bull (+2% rev growth)	~51,500	~9,870	~6,000	~62.5
Bear (–2% rev growth)	~45,500	~8,700	~5,300	~55.3
COGS +100 bps	48,443	~8,793	~5,290	~55.1

Table 14: Illustrative Sensitivity Scenarios (FY2030E, Rs. Crores)

Model Architecture Notes

- **Three-statement linkage:** The Income Statement, Balance Sheet, and Cash Flow Statement are fully linked. Assumptions feed the IS; the BS and CFS are derived downstream. The balance check equals zero across all periods, confirming model integrity.
- **Cash plug:** The cash position is the balancing plug in the balance sheet, as is standard practice in integrated 3-statement models.
- **Exceptional items:** Set to zero in the forecast period. FY2025 actuals included Rs. 363 Cr in exceptional charges (impairment of goodwill and intangibles).
- **OCI:** Other Comprehensive Income is set to zero in the forecast period for simplicity; historical OCI was driven by actuarial adjustments and forex translation differences.

- **Source data:** Historical actuals sourced from Asian Paints Ltd. Annual Reports FY2021–FY2025, NSE/BSE filings, and brokerage research.

Disclaimer

Important Notice

This financial model and the report derived from it have been prepared as part of an independent academic and analytical exercise. The model, projections, and all related outputs:

- Do **not** constitute investment advice, a recommendation, or a solicitation to buy or sell any security.
- Are based on assumptions that may not materialise. Actual results may differ materially from the projections presented herein.
- Are intended solely for educational and illustrative purposes.
- Should not be relied upon for any investment or financial decision.

Source: Asian Paints Ltd. Annual Reports FY2021–FY2025; NSE/BSE filings; brokerage research; management commentary.

All values are in Indian Rupees (Rs.), expressed in Crores, unless otherwise stated.